

Fondia: Financial Statements Release 2024 – Net sales decreased and profit weakened, transformation started

FINANCIAL DEVELOPMENT IN BRIEF

Figures in parentheses refer to the corresponding period of the previous year, unless otherwise stated. Fondia Plc and its group companies are hereinafter referred to as "Fondia" or the "company".

October–December 2024 summary:

- Net sales EUR 6.5 million (7.2), a change of –9.6%
- EBITDA EUR 0.5 million (1.3)
- EBITDA-% 7.8% (18.4)
- Adjusted EBITDA EUR 0.7 million (1.3)*
- Adjusted EBITDA-% 10.5% (18.4)*
- Operating profit (EBIT) EUR 0.3 million (1.1)
- Operating profit-% (EBIT-%) 3.8% (15.2)
- Adjusted operating profit (EBIT) EUR 0.4 million (1.1)*
- Adjusted operating profit (EBIT-%) 6.5% (15.2)*
- Personnel (period average FTE) 158 (168), a change of –6.0%

**In October–December 2024, non-recurring expenses totalling EUR 171 thousand were recorded. No non-recurring expenses were recorded in the comparison period.*

July–December 2024 summary:

- Net sales EUR 11.8 million (12.6), a change of –5.7%
- EBITDA EUR 0.7 million (1.4)
- EBITDA-% 5.8% (11.4)
- Adjusted EBITDA EUR 0.9 million (1.4)*
- Adjusted EBITDA-% 8.0% (11.4)*
- Operating profit (EBIT) EUR 0.2 million (1.0)
- Operating profit-% (EBIT-%) 1.6% (7.9)
- Adjusted operating profit (EBIT) EUR 0.4 million (1.0)*
- Adjusted operating profit (EBIT-%) 3.8% (7.9)*
- Profit for the period EUR 0.1 million (0.7)
- Adjusted profit for the period EUR 0.3 million (0.7)*
- Continuous monthly invoicing accounted for 46% (47) of net sales
- Personnel (period average FTE) 158 (168), a change of –6.0%

** In July-December2024, non-recurring expenses totalling EUR 260 thousand were recorded. No non-recurring expenses were recorded in the comparison period.*

January–December 2024 summary:

- Net sales 25.6 million (26.1), a change of –1.8%
- EBITDA was EUR 1.9 million (2.6)
- EBITDA-% was 7.6% (10.1)
- Adjusted EBITDA EUR 2.3 million (2.6)*
- Adjusted EBITDA-% 8.9% (10.1)*
- Operating profit (EBIT) was EUR 1.0 million (1.8)
- Operating profit-% (EBIT-%) was 4.0% (7.0)
- Adjusted operating profit (EBIT) EUR 1.4 million (1.8)*
- Adjusted operating profit (EBIT-%) 5.3% (7.0)*
- Profit for the period was EUR 0.7 million (1.4)
- Adjusted profit for the period EUR 1.0 (1.4)*
- Adjusted profit-% 3.9%*
- Continuous monthly invoicing accounted for 46% (46) of net sales
- Personnel (period average FTE) was 162 (163), a change of –0.6%
- Net earnings per share was EUR 0.16 (0.34)
- The Board of Directors' (hereafter "the Board") dividend proposal is EUR 0.30 per share

**In the financial year 2024, non-recurring expenses totalling EUR 344 thousand were recorded. No non-recurring expenses were recorded in the comparison period. All non-recurring expenses are related to the change of the Managing Director in Sweden and organisational restructuring.*

KEY FIGURES

Fondia Plc Group	7–12/2024	7–12/2023	Change, %	1–12/2024	1–12/2023	Change, %
Net sales, 1000 euros	11,841	12,554	–5.7%	25,628	26,094	–1.8%
EBITDA, 1000 euros	683	1,432	–52.3%	1,938	2,642	–26.6%
% of net sales	5.8%	11.4%		7.6%	10.1%	
Adjusted EBITDA, 1,000 euros*	944	1,432	–34.1%	2,282	2,642	–13.6%
% of net sales*	8.0%	11.4%		8.9%	10.1%	
Operating profit (EBIT), 1 000 euros	186	990	–81.2%	1,017	1,827	–44.3%
% of net sales	1.6%	7.9%		4.0%	7.0%	
Adjusted operating profit (EBIT)*	446	990	–54.9%	1,361	1,827	–25.5%
% of net sales*	3.8%	7.9%		5.3 %	7.0%	
Profit for the period, 1000 euros	60	748	–91.9%	651	1,353	–51.9%
% of net sales	0.5%	6.0%		2.5%	5.2%	
Adjusted profit for the period, 1,000 euros*	321	748	–57.1%	995	1,353	–26.4%
% of net sales*	2.7%	6.0%		3.9%	5.2%	
Net gearing %	–75.8%	–83.9%		–75.8%	–83.9%	
Equity ratio %	40.4%	52.0%		40.4%	52.0%	
Return on equity (ROE) %	16.5%	27.1%		16.5%	27.1%	
Average number of employees, full time equivalent (FTE)	158	168	–6.0%	162	163	–0.6%
Balance sheet total, 1000 euros	7,448	9,514		7,448	9,514	
Net earnings per share, euros	0.02	0.19		0.16	0.34	

**In the financial year 2024, non-recurring expenses totalling EUR 344 thousand were recorded. No non-recurring expenses were recorded in the comparison period.*

OUTLOOK FOR 2025

In 2025, Fondia will focus on improving profitability. The market situation remains uncertain, and this will have a weakening impact on the ability to assess the demand for ongoing legal services and the factors affecting it. In addition, the full impact of the company's change negotiations on the group's revenue is still difficult to estimate more precisely.

CEO TIMO LAPPI:

"The financial year 2024 was difficult for us, especially in Sweden. Fondia's net sales for the financial year decreased by 1.8% compared to the comparison period. International net sales decreased by 9.7% compared to the comparison period, with Sweden decreasing by 15.2% and the Baltics increasing by 37.5%. In Finland, net sales increased by 0.5% compared to the comparison period. The Group's operating profit (EBIT) weakened and was 5.3% (7.0) for the period, adjusted for non-recurring items.

Legal services sales were close to our targets for the financial year, but good sales performance was not enough to compensate for the loss of net sales from ongoing invoicing customers. The economic uncertainty was reflected in reduced resource reservations of our Legal Department Service (LDaaS) customers, a decrease in assignment business and, unfortunately, an increase in customer churn. On the other hand, the need for legal advice also increased in ESG and in employment law advice.

Our strategic goal is to increase the share of our Legal Department Service (LDaaS) and other productised ongoing services in all our market areas and also in addition to increase the share of international business in our total net sales. All ongoing services remained at its previous level of 46% (46) of Fondia's net sales. Total invoicing of Legal Department Service (LDaaS) customers and other customers covered by ongoing services represented 73% (76) of net sales. In Sweden, all ongoing services represented 41% (39) of net sales and in the Baltics, all ongoing services represented 34% (28) of net sales. In Finland, all ongoing services represented 46% (48) of net sales. Due to the problems encountered in Sweden, the share of international net sales in the Group's total net sales decreased and was 23% (25) in the financial year.

We are at an excellent level in delivering customer value and customer experience. The results of the customer satisfaction survey and the customer net promoter score (NPS) of 61 (61) showed that our service concept works, which is a good basis to develop our operations.

During the financial year, the employee net promoter score (eNPS) decreased and was 19 (48). The result reflects our need to invest in the employee experience and to clarify our direction, which we worked on with our employees and customers in the strategy work. Our average productivity for the period decreased and was -1.2% compared to the comparison period. Behind the decline in productivity was our growth challenge and the volume of legal customer work especially in Sweden.

At the beginning of the financial year, we launched a harmonised and updated brand identity to mark the 20th anniversary of our company. We also continued the development of the MyFondia platform and in addition piloted a number of AI applications to improve the competitiveness and efficiency of our services. Emma Ridderstad joined our Swedish subsidiary in August as Managing Director and member of the Group Management Team. At the end of the financial year, we launched a Group-wide savings programme, of which the change negotiations in the Finnish organisation were an integral part. Our aim is to improve the profitability of our business and to adjust our resourcing with the market situation.

The financial year was disappointing for us in terms of results and market conditions had a negative impact on growth and results. Our Baltic business grew strongly, but this was not enough to compensate for a weak financial year in our Swedish business. Our Finnish business grew, but not sufficiently compared to our expectations.

We have started required renewal and changes in our operations already during 2024. Our focus this year will be on profitability by putting customers at the heart of everything we do, improving employee satisfaction and completing strategic development projects. We will closely monitor possible changes in the market situation. When necessary, we respond quickly to changes as appropriate, without compromising the quality of our customer service or the good customer and employee experience."

THE LEGAL SERVICES MARKET

Key factors affecting the legal services market in the short term include:

- Inflation and interest rate developments and their impact on, for example, the transaction market
- The further expansion of the use of artificial intelligence to increase productivity and exploit innovation opportunities
- Geopolitical uncertainty and security threats
- Sustainability requirements
- Competition for talent and changing work culture

FONDIA'S STRATEGY

Fondia exists to constantly innovate the business law market. The company want to be the most truly client- and employee-centric player, boldly embracing ever-evolving technology.

The ultimate mission of Fondia's strategy is to deliver added value and an excellent customer experience for clients, which also gives Fondia a competitive advantage over other business law players.

Fondia is implementing the strategy and adapting to market changes through the following cornerstones:

- Clients and their businesses;
- Our people and culture; and
- An open and proactive approach to the opportunities offered by technology.

During the financial year 2024, Fondia has been working on its strategy together with its employees and customers. The strategy work will continue in the current financial year and may lead to a revision or update of the company's strategy and medium-term targets in the first half of the current financial year.

MEDIUM-TERM FINANCIAL OBJECTIVES AND PROFIT DISTRIBUTION POLICY

Fondia's medium-term targets are an annual average growth in net sales of approximately 15% and an average operating profit margin of approximately 15%. In accordance with the profit distribution policy, the company's goal is to distribute at least two thirds (2/3) of its earnings per share as

dividends to shareholders. Profit distribution will take into consideration Fondia's profit development and prospects, as well as future investment needs.

FINANCIAL DEVELOPMENT

Fondia's net sales in July–December 2024 were EUR 11,841 thousand (12,554), and decreased by 5.7% compared to the comparison period, partly due to the challenging market situation. Net sales in Finland decreased by 4.7% and international net sales decreased by 9.2% compared to the comparison period, due to a decline in net sales in Sweden. The company's net sales of all ongoing services decreased by 7.9% in the second half of the year and represented 46% (47) of total net sales. Total invoicing for Legal Department Service (LDaaS) customers and other ongoing services represented 70% (76) of net sales in the second half of the year.

The company's adjusted operating profit (EBIT) in July–December 2024 was EUR 446 thousand (990) and adjusted operating profit margin was 3.8% (7.9). Profitability was impacted by weakened net sales in a challenging market environment.

In January–December 2024, the company's net sales amounted to EUR 25,628 (26,094), and decreased 1.8% to the comparison period. Net sales in Finland increased by 0.5% and decreased by 15.2% in Sweden. In our Baltic business area, net sales increased by 37.5% in the financial period compared to the comparison period. Total international net sales decreased by 9.7% compared to the comparison period, and international net sales presented 23% (25) of the company's total net sales in the financial year. The development of the company's net sales in the financial year was affected by a 9.0% increase in assignment business. Net sales from all ongoing services decreased by 3.9% during the financial period and represented 46% (46) of total net sales. Total invoicing of Legal Department Service (LDaaS) customers and other ongoing services represented 73% (76) of net sales. The net sales from customers under ongoing services decreased by 7.6% in assignment business.

The company's adjusted operating profit for the period was EUR 1,361 thousand (1,827) and the operating profit margin was 5.3% (7.0). Changes in the operating environment contributed to weakened customer demand and cost increase.

The company's consolidated balance sheet total on 31 December 2024 was EUR 7,448 thousand (9,514). The Group's cash and cash equivalents were EUR 2,244 thousand (4,123). The company was debt-free, and its equity ratio was 40%.

Items affecting comparability

1,000 euros	7-12/2024	7-12/2023	1-12/2024	1-12/2023
Profit for the period	60	748	651	1,353
Employee expenses	241	0	275	0
Other operating expenses	19		69	
Taxes			-34	0
Comparable profit for the period	321	748	962	1,353
Operating profit (EBIT)	186	990	1,017	1,827
Employee expenses	241	0	275	0
Other operating expenses	19	0	69	0
Comparable operating profit (EBIT)	446	990	1,361	1,827

PERSONNEL, MANAGEMENT AND ADMINISTRATION

Fondia continued to invest in its unique business culture and values. As a result, Fondia can attract experienced business law and industry legal experts. On 31 December 2024, the Group employed 180 (194) people, of whom 121 (129) were lawyers.

The average number of employees (FTE) during the year was 162 (163).

At the end of the financial year, the total number of employees in Sweden was 38 (43), the number of employees in Finland was 127 (139), the number of employees in Estonia was 9 (6), and the number of employees in Lithuania was 7 (6).

At the end of the financial year, Fondia had offices in Helsinki, Turku, Tampere, Lahti, Tallinn, Vilnius, Stockholm, Malmö and Gothenburg.

During the financial year 2024, Harri Savolainen, MBA, was the CEO of Fondia Plc.

Fondia Group's management team in the financial year 2024 consisted of the following persons:

- Chief Executive Officer, Harri Savolainen
- Chief Operating Officer, Wilma Laukkanen
- Legal Business Director, Finland, Minna Laurila
- Managing Director, Sweden, Monica Söderlund
- Managing Director, Baltics, Eneli Perolainen

The changes in the Fondia Group's management team after the financial year are described in more detail in the section on significant events after the reporting period.

Fondia Plc's Board in the financial year 2024 consisted of the following persons:

- Timo Lappi, Chair of the Board (since 20 March 2024)
- Charlotte Darth
- Johan Hammarén
- Katariina Lindholm
- Juha Sarsama, Chair of the Board (until 20 March 2024)

- Sami Honkonen (since 20 March 2024)
- Krista Siljander (until 20 March 2024)

SHARES AND SHAREHOLDERS

Shares issued and share capital

On 31 December 2024, there were a total of 3,953,134 (3,953,134) Fondia Plc shares. At the end of the financial year, the company held 216,557 of its own shares (130,310). The average number of shares during the financial year was 3,953,134 (3,953,134). In July–December 2024, the average number of shares was 3,953,134 (3,953,134).

Fondia Plc's share capital at the end of the financial year 2024 was EUR 100,000 (100,000).

Shareholders and trading in Fondia shares

Fondia Plc's share closing price on the last trading day of the financial period, on 30 December 2024, was EUR 4.74. The lowest trading price for the financial period was EUR 4.66 (5.70) and the highest EUR 7.36 (8.58).

During the financial year, a total of 531,088 (519,891) shares were traded. At the end of the financial period, the market value of Fondia Plc was EUR 18.7 (24.7) million.

At the end of the financial year 2024, Fondia Plc had 2,919 (3,069) shareholders. Nominee-registered holdings accounted for 1.27% (1.32) of the share capital.

Repurchase and transfer of own shares

At the end of the financial period, Fondia Plc owned 216,557 of its own shares (5.48% of the total number of shares), which were repurchased between December 2021 and December 2024 on the basis of the authorisations granted by the Annual General Meeting to the Board of Directors.

During the financial year 2024, Fondia Plc repurchased 87,151 of its own shares (approximately 2.2% of the total number of shares) under the authorisations granted to the Board of Directors by the Annual General Meetings of 2023 and 2024. The shares were repurchased on the market at the prevailing market price and the average price of the shares acquired was EUR 6.36 per share. The shares were acquired in accordance with the authorisations given to the Board of Directors by the General Meeting of Shareholders for the purpose of developing the company's capital structure, for transfer for the purpose of financing or implementing possible acquisitions, investments or other arrangements relating to the company's business, for use in the company's incentive schemes or otherwise for further transfer, retention or annulment. The acquisition of own shares was financed by the company's distributable free equity.

Fondia Plc decided in the financial year 2024 on one share repurchase programme. The programme started on 20 May 2024 and ended on 20 December 2024. The maximum number of shares to be repurchased during the programme was 100,000, corresponding to approximately 2.53% of the total number of shares in the company. However, the maximum amount to be used for the acquisition of shares was EUR 800,000. During this period, Fondia acquired a total of 67,103 of its own shares, with a total value of EUR 418,916.30 and an average price of EUR 6.24 per share.

During the financial period, Fondia Plc transferred a total of 2,270 own shares held by the company (0.06% of the total number of shares). The shares were transferred free of charge on 13 March 2024,

to 30 persons who had participated in the Employee Share Savings Plan (ESSP) during the savings period 2021–2022.

During the financial period, shares were also repurchased on behalf of the participants in the ESSP for the periods 2022–2023 and 2023–2024 with their accumulated savings at the prevailing market price after the publication of the 2023 Financial Statement Release in March 2024 and Half-yearly Financial Report in September 2024.

Employees share savings plan (“ESSP”)

In November 2018, Fondia Plc decided to introduce a share savings plan for the entire Group's employees, which the Board of Directors has decided to extend for new 12-month periods every year since then. The purpose of the ESSP is to offer the Group's employees the opportunity to save part of their regular salary for the purchase of shares in the company on favourable terms by issuing additional shares free of charge to the employees participating in the ESSP. By encouraging employees to acquire and own shares in the company, the company aims to strengthen the shareholder-employee relationship. The aim is to promote employee motivation and commitment to the company. The Board of Directors considers that the scheme will have a positive impact on the future development of the Group and is therefore in the interest of both shareholders and employees.

Under the ESSP, shares are repurchased with accumulated savings twice a year after the publication of the half-yearly report and the financial statements. Under the terms of the ESSP, the Board of Directors decides on the method of acquisition of savings shares. Each participant will receive from Fondia Plc one additional share (before tax) free of charge for every two savings shares acquired. The additional shares will be granted to the participant if he/she owns the savings shares acquired during the savings period and his/her employment is valid until the end of the holding period. Holding periods are three years. The additional shares are paid partly in shares of the company and partly in cash. The cash portion is intended to cover taxes and parafiscal charges incurred by the participant.

During the financial year, shares were repurchased for the benefit of the participants in the ESSP for the periods 2022–2023 and 2023–2024 with their accumulated savings at the prevailing market price in March 2024 and September 2024. In November 2024, the Board of Directors decided to extend the ESSP for the new period 2025–2026.

Share-based commitment and incentive plan (“share plan”)

In October 2021, Fondia Plc decided to introduce a share plan. The purpose of the share plan is to contribute to the achievement of the company's financial objectives and to provide participants with a competitive long-term incentive scheme, thereby increasing shareholder value. The share plan is performance-based and consists of performance periods of three financial years. The Board of Directors decides annually on the start of new performance periods, their terms and conditions and the participants. The previous performance periods of the share plan are 1 January 2022–31 December 2024 and 1 January 2023–31 December 2025. In December 2023, company's Board of Directors decided on the third performance period of the share plan. The third performance period of the share plan started on 1 January 2024 and ends on 31 December 2026.

Participants in the share plan have the opportunity to earn shares in Fondia Plc based on performance criteria set by the Board of Directors related to the financial and strategic performance of the company. The Board of Directors determines the performance criteria for each performance period and the target levels for each performance criterion at the beginning of the performance

period. The Board of Directors selects the participants for each performance period separately. The objective is to enable a broad participation of employees in the plan and therefore, as a general rule, it is not possible to participate in two consecutive performance periods. The maximum number of participants in each performance period is just over 30. Members of the Group Management Team, including the CEO, have been offered the opportunity to participate in the first and third performance periods.

Authorisations granted to the Board of Directors

Share issue authorisation

Fondia Plc's Annual General Meeting held on 20 March 2024, authorised the Board to decide on the issuance of shares, option rights and other special rights entitling to shares referred to in Chapter 15, Section 6 of the Finnish Limited Liability Companies Act in one or more tranches as follows:

The number of shares to be issued on the basis of the authorisation shall not exceed 390,000 shares in total (including shares to be issued on the basis of special rights), which corresponds to approximately 9.9% of the current total number of the shares in the company.

The Board of Directors decides on all the conditions of the issuance of shares, option rights and special rights entitling to shares. The authorisation may be used to issue both new shares and shares held by the company. New shares may be issued, and shares held by the company may be transferred either against payment or free of charge. In the issue and transfer of shares, option rights and other special rights entitling to shares, the shareholders' pre-emptive subscription rights (directed issue) may be derogated from if there is a weighty economic reason from the company's point of view, such as the use of shares to develop the company's capital structure, to implement possible acquisitions, investments or other arrangements relating to the company's business or to implement the company's commitment and incentive schemes. The Board of Directors may also decide on a share issue free of charge to the company itself.

The authorisation annuls the authorisation given to the Board of Directors by the Annual General Meeting of 23 March 2023. The authorisation is effective until the end of the next Annual General Meeting, however no longer than until 30 June 2025.

Authorisation to repurchase of own shares

Fondia Plc's Annual General Meeting held on 20 March 2024, authorised the Board to decide on the repurchase of company's own shares as follows:

The number of own shares to be repurchased on the basis of the authorisation shall not exceed 300,000 shares in total, which corresponds to approximately 7.6% of the current total number of the shares in the company. However, the company, together with its subsidiaries, may not own and/or pledge more than 10% of all shares in the company at any time. Own shares may only be repurchased on the basis of the authorisation by using the unrestricted equity of the company.

Own shares can be repurchased on the repurchase date at a price formed in multilateral trading or otherwise at a price formed in the market. Shares may also be repurchased outside public trading at a price that does not exceed the market price in public trading at the time of acquisition.

The Board of Directors decides how the shares are repurchased. Own shares may be repurchased other than in proportion to the shares held by the shareholders (directed repurchase) if there is a weighty financial reason for the company within the meaning of Chapter 15, Section 6 of the

Companies Act. Own shares may be repurchased for the purpose of developing the company's capital structure, for transfer for the purpose of financing or implementing possible acquisitions, investments or other arrangements relating to the company's business, for use in the company's incentive schemes or otherwise for further transfer, retention or annulment.

The authorisation annuls the authorisation given to the Board of Directors by the Annual General Meeting of 23 March 2023. The authorisation is effective until the end of the next Annual General Meeting, however no longer than until 30 June 2025.

ANNUAL GENERAL MEETING 20 MARCH 2024

Fondia Plc's Annual General Meeting ("AGM") was held in Helsinki on 20 March 2024. The AGM confirmed the company's financial statements for the financial year 2023 and discharged the Board and CEO from liability for the financial year 1 January to 31 December 2023. The financial statements include the balance sheet and the profit and loss account, the financial statement, and the notes both for the Group and the parent company.

The AGM decided, as proposed by the Board, that an actual dividend of EUR 0.32 and an additional dividend of EUR 0.20 per share is to be paid from the parent company's distributable funds. The additional dividend was paid to shareholders who, on the record date of the dividend payment on 20 September 2024, were entered in the shareholders' register maintained by Euroclear Finland Ltd. The payment date of the additional dividend was 27 September 2024.

As proposed by shareholders representing more than 33% of the company's shares and votes, the AGM decided to pay the following remuneration to the Board members: EUR 3,500 per month to the Chairperson and EUR 2,000 per month to the other Board members. Travel expenses are reimbursed according to the maximum amount of travel allowance established by the Finnish Tax Administration.

As proposed by shareholders representing more than 33% of the company's shares and votes, the AGM confirmed the number of Board members as six. Charlotte Darth, Johan Hammarén, Timo Lappi, Katariina Lindholm, and Juha Sarsama were re-elected as Board members, with Sami Honkonen elected as a new Board member. The Board's term of office ends at the end of the 2025 AGM.

As proposed by the Board, the AGM appointed the auditing firm Grant Thornton Ltd as the company's auditor, with Peter Åhman, Authorised Public Accountant, continuing as the auditor with principal responsibility.

In addition, the AGM authorised the Board to decide on the issue of shares, stock options, and other special rights entitling to shares in one or more instalments and on the repurchase of company shares in one or more instalments. Authorisations granted to the Board are described in more detail under 'Shares and shareholders'.

The AGM approved, on an advisory basis, the remuneration policy and the remuneration report of the company's governing bodies for 2023.

Organisation of the Board of Directors

Fondia Plc's Board elected Timo Lappi as Chairperson of the Board at a Board constitutive meeting held after the AGM. The Board decided not to establish committees.

The Board assessed the independence of its members at the meeting in accordance with the Finnish Corporate Governance Code and found that the Board members are independent of the company. Charlotte Darth, Sami Honkonen, Katariina Lindholm, and Juha Sarsama are independent of the company's major shareholders.

RISKS AND BUSINESS UNCERTAINTIES

Short-time uncertainties relate in particular to geopolitical uncertainty and its economic consequences, as well as increased security threats. However, Fondia does not consider the risk of credit losses to have increased significantly as a result of uncertainty. The change in work culture triggered by the pandemic will continue to intensify competition for employees and lower the threshold for employee mobility.

Company-specific long-term uncertainties relate to the company's ability to recruit, motivate and retain skilled employees. Furthermore, Fondia believes that it is dependent on its IT systems and that any shortcomings, disruptions or failures in IT systems could adversely affect business operations. Fondia also keeps an eye on developments in the global security and economic situation and their potential impact on the private sector.

BOARD OF DIRECTORS' PROPOSAL FOR THE DISTRIBUTION OF PROFIT

The Board of Directors proposes to the AGM that, based on the financial statements to be approved for 2024, an actual dividend of EUR 0.30 per share to be paid for each share entitled to dividend.

The parent company's distributable funds at the end of the financial year were EUR 7,790,960.51, of which EUR 1,653,475.21 was profit for the financial year.

DRAFTING PRINCIPLES FOR FINANCIAL STATEMENTS AND FINANCIAL STATEMENTS RELEASE

The financial statements and financial statements release have been prepared in accordance with good accounting practice and Finnish legislation. The figures for financial years 2024 and 2023 presented in the release are based on Fondia Plc's audited financial statements and have been prepared in accordance with national legislation (FAS). The financial statements release is unaudited. The financial statements include the balance sheet and the profit and loss account, the financial statement, and the notes both for the Group and the parent company. The information is presented to the extent required by the section 4.4. of Nasdaq First North Growth Market Rulebook for Issuers of Shares. The figures shown are rounded from the exact figures.

SIGNIFICANT EVENTS AFTER THE REPORTING PERIOD

Harri Savolainen, President and CEO of Fondia Plc, left his position CEO and resumed his role as CFO as of 22 January 2025. The Board of Directors launched a search for a new CEO and appointed Timo Lappi, Chairman of the Board, as interim CEO.

Timo Lappi will also continue as Chair of the Board of Fondia Plc. This is a temporary deviation from recommendation 21 of the Finnish Corporate Governance Code. The Board of Directors appointed

Johan Hammarén as Vice Chair of the Board to ensure the smooth running of the Board and good governance during this period of change.

At the same time, also the composition of the Group Management Team changed. The company's Chief Operating Officer (COO) Wilma Laukkanen and Legal Business Director, Finland, Minna Laurila left the company.

The composition of the Group Management Team was as of 22 January 2025:

- Timo Lappi, Interim CEO, Fondia Group; Chair of the Board
- Harri Savolainen, CFO, Fondia Group
- Emma Ridderstad, Managing Director, Fondia Sweden
- Eneli Perolainen, Managing Director, Fondia Baltics

On 3 December 2024, the company also announced that the company was starting change negotiations concerning the entire personnel of the Finnish company based on production-related and financial grounds in accordance with the Act on Cooperation. The aim of the change negotiations was to optimise and reorganise operations, thereby increasing the company's productivity and competitiveness. The change negotiations started on 11 December 2024 and were completed on 22 January 2025.

The change negotiations are expected to achieve savings of approximately EUR 1.3 million for 2025. The negotiations are part of the Group-wide savings programme planned for 2025.

The company published preliminary information on its 2024 results on 22 January 2025.

PUBLICATION OF FINANCIAL INFORMATION IN 2025

The financial statements, the report of the Board of Directors and the auditor's report will be published no later than on week 9 in a company release and on the company's website. The Annual General Meeting is scheduled to be held on Wednesday 20 March 2025, at 3.00 p.m. EET. The Board of Directors will decide separately on the convening of the Annual General Meeting.

The Half-yearly Financial Report January–June 2025 will be published on Thursday 21 August 2025.

In addition to the financial statements release and the Half-yearly Financial Report, the business reviews will be published after the first quarter on Thursday 24 April 2025, and after the third quarter on Thursday 23 October 2025.

CONSOLIDATED INCOME STATEMENT

1000 euros	7-12/2024	7-12/2023	Change, %	1-12/2024	1-12/2023	Change, %
Net sales	11,841	12,554	-5.7%	25,628	26,094	-1.8%
Other operating income	3	8	-60.1%	7	17	-59.0%
Materials and services	-202	-83	143.3%	-375	-429	-12.6%
Employee expenses	-7,873	-8,058	-2.3%	-17,036	-17,090	-0.3%
Depreciation and impairment	-497	-442	12.6%	-920	-815	13.0%
Other operating expenses	-3,087	-2,989	3.3%	-6,287	-5951	5.6%
Operating profit	186	990	-81.2%	1,017	1,827	-44.3%
Net financial income/ expenses	40	35	13.0%	50	22	130.9%
Profit before appropriations and taxes	226	1,025	-78.0%	1,067	1,849	-42.3%
Income taxes	-165	-277	-40.4%	-416	-496	-16.1%
Profit for period	60	748	-91.9%	651	1,353	-51.9%

CONSOLIDATED BALANCE SHEET

1000 euros	31.12.2024	31.12.2023
ASSETS		
Non-current assets		
Intangible assets		
Consolidated goodwill	617	818
Other non-current assets	1,385	1,366
Advance payments	53	
Tangible assets		
Machines and hardware	170	188
Other tangible assets	9	9
Non-current assets total	2,234	2,381
Current assets		
Long-term receivables		
Other receivables	4	4
Short-term receivables		
Trade receivables	2,478	2,554
Other receivables	21	24
Prepayments and accrued income	467	428
Cash and cash equivalents	2,244	4,123
Current assets total	5,214	7,133
ASSETS TOTAL	7,448	9,514

LIABILITIES**Equity**

Share capital	100	100
Fund for invested unrestricted capital	3,728	3,728
Profit for previous financial years (-loss)	-1,461	-239
Profit for period (-loss)	651	1,353
Translation differences	-59	-29
Equity total	2,960	4,913

Foreign equity**Short-term**

Prepayments	130	58
Accounts payable	506	587
Other liabilities	1,436	1,431
Accrued liabilities	2,417	2,526
Foreign equity total	4,488	4,601

LIABILITIES TOTAL**7,448****9,514****CHANGES IN EQUITY**

1000 euros	Share capital	Fund for invested unrestricted equity	Profit (loss) for previous financial periods	Profit (loss) for period	Translation differences	Total
Equity 1.1.2024	100	3,728	1,114		-29	4,913
Dividend distribution			-1,970			-1,970
Acquisition of own shares			-605			-605
Profit/loss for period				651		651
Change in translation difference					-29	-29
Equity 31.12.2024	100	3,728	-1,461	651	-59	2,960
Equity 1.1.2023	100	3,728	1,293		-42	5,079
Dividend distribution			-1,162			-1,162
Acquisition of own shares			-370			-370
Profit/loss for period				1,353		1,353
Change in translation difference					13	13
Equity 31.12.2023	100	3,728	-239	1,353	-29	4,913

CONSOLIDATED STATEMENT OF CASH FLOWS

1,000 euros	1-12/2024	1-12/2023
Cash flow from operating activities		
Profit (-loss) before appropriations and taxes	1,067	1,849
Planned depreciations	920	825
Unrealised exchange rate gains and losses	-35	2
Other income not involving charges	0	-9
Financial income and expenses	-50	-22
Cash flow before change in working capital	1,903	2,645
Change in working capital:		
Increase (-) / decrease (+) in current non-interest-bearing receivables	65	189
Increase (+) / decrease (-) of current non-interest-bearing liabilities	-56	-648
Cash flow from operating activities before financial items and taxes	1,912	2,186
Interest paid and other financial costs	-17	-24
Received interest and other financial income	97	32
Direct taxes paid	-522	-497
Cash flow from operating activities (A)	1,471	1,696
Cash flow from investing activities:		
Investments in intangible and tangible assets	-774	-822
Gains from disposal of intangible and tangible assets	0	0
Funding for intangible assets	0	0
Acquired subsidiary shares	0	-4
Cash flow from investing activities (B)	-774	-826
Cash flow from financing activities		
Acquisition of own shares	-605	-370
Dividend distribution	-1,970	-1,162
Non-current rental guarantee deduction	-5	-6
Non-current rental guarantee	5	10
Cash flow from financing activities (C)	-2,576	-1,528
Change in cash and cash equivalents (A+B+C) increase (+) / decrease (-)	-1,879	-658
Cash and cash equivalents at the beginning of period	4,123	4,781
Cash and cash equivalents at the end of period	2,244	4,123
Change in cash and cash equivalents increase (+) / decrease (-)	-1,879	-658

CALCULATION OF KEY FIGURES

EBITDA	=	Net sales + other operating income – materials and services – employee expenses – other operating expenses	
EBITDA as % of net sales	=	$\frac{\text{EBITDA}}{\text{Net sales}}$	x 100
Adjusted EBITDA	=	EBITDA + non-recurring items	
Adjusted EBITDA as % of net sales	=	$\frac{\text{Adjusted EBITDA}}{\text{Net sales}}$	x 100
Operating profit (EBIT)	=	EBITDA – depreciation and amortization	
Operating profit (EBIT) as % of net sales	=	$\frac{\text{Operating profit (EBIT)}}{\text{Net sales}}$	x 100
Adjusted operating profit (EBIT)	=	$\frac{\text{EBIT} + \text{non-recurring items}}{\text{Net sales}}$	
Adjusted operating profit (EBIT) as % of net sales	=	$\frac{\text{Adjusted operating profit (EBIT)}}{\text{Net sales}}$	x 100
Profit	=	EBIT – interest – taxes	
Profit as % of net sales	=	$\frac{\text{Profit}}{\text{Net sales}}$	x 100
Adjusted profit	=	Profit + non-recurring items	
Adjusted profit for period as % of net sales	=	$\frac{\text{Adjusted profit}}{\text{Net sales}}$	x 100
Equity ratio, %	=	$\frac{\text{Equity} + \text{minority interest}}{\text{Balance sheet total} - \text{advances received}}$	x 100
Return on equity (ROE), %	=	$\frac{\text{Profit after financial items} - \text{income taxes}}{\text{Equity} + \text{minority interest (average during the year)}}$	x 100
Net gearing, %	=	$\frac{\text{Interest-bearing liabilities} - \text{cash and bank receivables}}{\text{Equity} + \text{minority interest}}$	x 100

INVESTOR COMMUNICATIONS

Fondia will publish the financial statements release for January–December 2024 on Thursday 13 February 2025 at 08.30 a.m. EET. The financial statements release and a video of the CEO's presentation as well as the presentation material will be available later on the company's website <https://investors.fondia.com/fi/en/releases-and-publications/reports-and-presentations>.

An investor call will be held on Thursday 13 February 2025 at 10.00 a.m. EET. The investor call will be held in Finnish and can be accessed online by registering on the company's website at the address <https://player.videosync.fi/fondia/2024-tulosjulkistus>.

Helsinki, 13 February 2025

Fondia Plc
Board of Directors

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FONDIA IN BRIEF

Fondia solves the legal needs of companies by combining the best services from internal legal departments and law firms. Fondia operates in Finland, Sweden, Estonia, and Lithuania, and the Group's net sales in 2024 were EUR 25.6 million. Fondia employs around 180 people.

www.fondia.com

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